advised him not to comply.[50] K.R. Guruswami Aiyar was furious when VOC stuck to his decision. VOC stood his ground, with the words that no one could stop the inevitable even though an overwhelming majority of the directors pleaded that the company would face certain ruin if he did not resign. VOC's tough stance divided the directors down the middle, and they sparred with each other. In the end, the moderate faction prevailed. Only S.T.A. Arumugam Pillai, S.D. Krishna Aiyangar and possibly one or two others stood by VOC.[51]

Unable to force VOC's resignation, the management made the next move. Stating that matters were now in the hands of the government, K.R. Guruswami Aiyar advised the company to pass a resolution asking VOC to abstain from political activities. It was expected that VOC would turn up for the meeting with the directors, receive the order and abide by it. The terms of the order were that he should neither organize nor participate in any political meetings or give speeches if he wished to remain in the company's employ. Another resolution stated that the company's servants were not to give any scope for misapprehension about the methods employed by them to canvass business—or in plain terms, patriotic language was not to be used to win support for SSNCo. (This order was also communicated 'to the smaller servants of the company'[52]—an indication that they obeyed VOC rather than the directors.) The order was put on record but 'within 10 minutes [VOC] had begun to defy the orders of the Directors. He did not take the advice; he refused to accept the order.'[53] Further, to their great chagrin, the company shortly received a printed notice, signed by VOC, to the following effect: 'Some gentlemen who came from Tirunelveli and others want that I should not deliver speeches here, but on a question of that sort I would rather take a mandate of the whole people of Tuticorin than from these: therefore, I will call a public meeting.' The wording of the notice—'some of the native gentlemen of Tuticorin'—shows that he did not recognize them as legitimate representatives of the Swadeshi company. Submitted as Exhibit M in the sedition case against him, the text of VOC's notice ran as follows:[54]